

TENSIONS ESCALATE A bitter dispute over tariffs and sovereignty has intensified

Trump’s ‘Lake America’ move turns US-Canada trade war into ‘bar fight’

BLOOMBERG

Tensions between the Trump administration and Canada’s leaders, most recently Prime Minister Mark Carney, have been simmering ever since Trump raised the idea of annexing Canada and then began trying to renegotiate a regional free trade agreement that he himself signed in 2020. But things grew even hotter over the past week after Carney pulled out of negotiations to avoid US levies, complaining that the Trump administration had attempted to impose “last-minute changes” that he said were “unfair, uneconomic and called into question the reliability of any deal.” Trump responded by announcing fresh tariffs.

Canada shot back by announcing its intention to impose “dollar-for-dollar” retaliation. The upshot: Canadian plywood will become more expensive in the US, while American steel and fish will become more expensive in Canada. The insults followed. Ontario’s leader, Doug Ford, who has styled himself as a defender of Canadian automotive jobs, repeatedly told Trump to “kiss my ass.” On social media, Trump insulted Ford and called Canada “easily the most difficult and unreasonable” country. Hours later, he praised North Korea as “unthreatening and respectful.” On August 26, Trump signed an executive order supposedly renaming Lake Ontario “Lake America.” “It feels like a bar fight,” Harvard economist Ken Rogoff



US President Donald Trump, alongside Secretary of the Interior Doug Burgum, displays an executive order he signed that aims to rename Lake Ontario to Lake America at the White House in Washington, DC, on Thursday. AFP

said on this week’s Everybody’s Business podcast. Rogoff, a former chief economist at the International Monetary Fund and the author, most recently, of Our Dollar, Your Problem, argued that much of the dispute comes down to ego and national pride. Canada is at a huge disadvantage in the trade war because of its size and the fact that the US buys a huge share of its exports. But Canadians have felt so insulted by the threats of annexation and the administration’s more symbolic attacks on Canadian sovereignty that opposition to Trump is popular. That could give Carney more room to manoeuvre than he might otherwise have. Canada’s top economists,

however, have told Finance Minister Francois-Philippe Champagne that the damage from the spiralling trade war with the US should be manageable, potentially strengthening Carney’s case for walking away from the talks. Champagne held a private meeting with chief economists, including some representing the country’s largest banks, in Toronto to discuss the outlook after trade talks collapsed with the US, by far the largest buyer of Canadian exports. Some economists have pared their growth forecasts and warned that small and medium-sized businesses are likely to feel the brunt of the new import taxes the US has placed on hundreds of Canadian

items. “A 50% tariff could well represent an insurmountable barrier for their ability to reach the US market,” economists at Canadian Imperial Bank of Commerce wrote. But participants who spoke on condition of anonymity said there was little discussion of recession risk during the meeting with Champagne. Instead, there was broad agreement that Canada’s economy was strong enough to absorb Trump’s tariff salvos. There will be damage, but economists told the minister that it was likely to be concentrated largely in sectors directly hit by the tariffs. On Saturday, the US added 50% tariffs to about \$20 billion worth of Canadian imports, including electrical equipment,

plastics and plywood. That is in addition to earlier US taxes on steel, autos, aluminium, lumber and other products. Carney’s government responded in kind, adding new duties on a wide range of US items that partially mirrored Trump’s tariffs, starting September 8. Canada also doubled its existing counter-tariffs on some US steel and aluminium products to 50%. Wednesday’s meeting “reinforced that Canada’s economic fundamentals remain strong and the economy has proven resilient despite significant headwinds,” said Audrey Milette, a spokesperson for Champagne. One caveat is that the trade war may still escalate. Trump threatened this week to impose 50% tariffs on Canadian vehicles and to target auto parts on January 1, measures that could create massive disruption in the sector if he follows through. Meanwhile, Trump’s tariffs are not well-liked by American voters, and the president’s low approval numbers are feeding anxiety among Republicans about a midterm election in which Democrats stand a chance of retaking the House and possibly even the Senate. Carney has sought to exploit this by aiming his tariffs at goods produced in states such as Maine and Michigan, where Republican candidates are vulnerable in November. Rogoff expects both sides to eventually back down, but he says the spat creates a risk to American soft power – at a time when the country’s military is stretched by its war with Iran.

WORLD AT A GLANCE



Israeli soldiers arrive in the village of Qusra, south of Nablus in the Israeli-occupied West Bank, which has faced escalating Israeli settler violence over the past month, on Saturday. AFP

Canada’s CBC changes policy to label 9/11 attacks ‘terrorism’

► Canada’s public broadcaster said on Friday it is making an exception to its policy of not labelling specific attacks as terrorism for the 9/11 attacks after coming under fire over a memo restating it, AP/PTI reports from Ottawa. CBC/Radio-Canada’s standards normally don’t allow reporters to describe events as terrorist attacks unless they are quoting someone else’s words. But the director of the FBI, the US ambassador to Canada, Republican members of Congress and Canada’s Conservative party all criticised the CBC following media reports about a memo reminding journalists of the

policy sent to staff ahead of the 25th anniversary of the September 11 attacks. Basem Boshra, senior director of journalistic standards and public trust, said on Friday that CBC would make an exception to the rule for the 9/11 attacks. He said a “leaked excerpt” of its language policy had raised questions that the public broadcaster must now answer. “At the same time, as new acts of politically or ideologically motivated violence occur in our world, we will continue to follow the journalistically sound practice of attributing causes and motivations to officials and experts.”

RSS chief images on billboards

► Images of RSS chief Mohan Bhagwat were projected on billboards in the heart of Times Square ahead of his address to members of the Indian diaspora at Madison Square Garden, PTI reports from New York. Bhagwat arrived in the US on Tuesday as part of the Rashtriya Swayamsevak Sangh’s (RSS) centenary-year global

outreach programme. His outreach tour also includes Canada and the UK. In the US, he is scheduled to address a gathering of around 5,000 people at the iconic Madison Square Garden on Saturday. The event, titled ‘Universal Oneness Celebration’, is organised by American Hindus for Engagement and Dialogue (AHEAD).

Nepal floods leave trail of devastation amid fears of fresh deluge

Chinese rescuers reach the Tibet mudslide epicentre

KATHMANDU/BEIJING, PTI/AFP



A rescue personnel looks on at the site of damaged buildings at Trishuli Bazar in Nepal's Nuwakot district on Saturday. AFP

Nepal struggled to find its footing on Saturday after devastating flash floods swept through towns and villages, killing more than 650 people and leaving over 2,400 missing as rescuers battled rain, mud and debris in the search for survivors. Nepal’s meteorology department on Saturday warned of fresh rainfall and thunderstorms in the country’s flash flood-affected areas, threatening to disrupt ongoing rescue and relief operations amid the worsening crisis, according to a media report. A torrent of water, mud and debris swept through the flood-affected regions on Wednesday, washing away homes, vehicles, roads and bridges and damaging hydropower projects. Outside hospitals, families lined up to check lists of injured people and went through names and photographs in the hope of finding missing loved

ones. Many also searched through photographs of the dead pasted on walls. Rescuers worked round the clock, braving rain in some places and digging through drying mud in others in their search for those still missing. The Nepali Army has already rescued 350 people who were trapped inside the tunnel, the online Khabar news portal reported. The scale of the devastation was visible across villages in central Nepal, with buildings buried under several feet of mud, vehicles half-submerged, and roads and other infrastructure washed away by the torrent of water and debris. More than 15,000 security personnel have been mobilised for search and rescue operations. Around 4,500 people have been rescued so far, Nepal’s Foreign Minister Shisir

Khanal said on Saturday, adding that the country remains on “high alert”. Epicentre zone in China Meanwhile, Chinese rescuers were progressing towards the epicentre of a deadly mudslide at the Tibet-Nepal border, state media said. The massive wave of mud and debris swept into Tibet’s border hub of Gyirong on Wednesday, killing at least seven people and leaving 554 missing in the area, according to China’s Xinhua news agency. Over 500 rescuers reached the heart of the devastation. Rescue operations had been temporarily paused because of the threat of renewed flooding from a lake formed by the mudslide. But state broadcaster CCTV said the lake was “discharging naturally”.

Indian experts join effort to rescue workers trapped in tunnel

KATHMANDU, PTI: An 11-member Indian team arrived in Nepal’s flood-affected Trishuli area in Nuwakot district on Saturday to assist in efforts to rescue workers trapped in a tunnel belonging to a hydropower project. The team, comprising medical personnel and tunnel-rescue specialists, arrived in Nepal on Friday. After completing an aerial survey of the Chilime and Langtang areas, the Indian team began necessary rescue-related work around the tunnel area, according to the National Disaster Risk Reduction and Management Authority. Based on the team’s recommendations, a specialised rescue team with equipment was expected to arrive in Nepal on Saturday night, the authority said. An 82-member joint security team comprising Nepal Army, Armed Police Force and Nepal Police personnel has been working since Friday night to clear debris and reach people believed to be trapped inside the tunnel.

US to get Venezuela’s 65 billion-barrel oil reserves: Trump

WASHINGTON, AP/PTI

President Donald Trump on Friday said the US had entered into an agreement with Venezuela to take control of 65 billion barrels of the South American country’s oil reserves. Trump announced the agreement in a social media post, saying it had been negotiated by Secretary of State Marco Rubio, Defence Secretary Pete Hegseth and Venezuela’s interim President Delcy Rodriguez. “The United States of America has just entered into an Agreement with the Country of Venezuela on, THE BIGGEST OIL DEAL IN WORLD HISTORY!” Trump wrote. The Venezuelan government’s press office did not immediately respond to a request for comment. The announcement of the deal comes nearly nine months after the US military, at Trump’s direction, carried out an operation to capture Venezuela’s president, Nicolás Maduro, and spirit him to the United States to face federal narcoterrorism and drug trafficking charges. Trump faces mounting pressure to address high gas prices as the war in Iran on Friday reached a six-month

milestone with no conclusion in sight. The US has tapped its strategic petroleum reserves, which in early August fell below 300 million barrels, down by more than 100 million barrels since the start of 2026. The US-Israel war against Iran has led to a dramatic slowdown in Gulf oil moving through the Strait of Hormuz, through which about 20% of the world’s petroleum passed before the conflict. The average price of gas in the US stood at about \$4.09 a gallon on Friday, according to AAA. The average price was \$3.21 at the same time last year. Trump, in his social media post on Friday evening, alluded to the Venezuela deal being part of a private partnership. The White House did not immediately reply to a request for comment about the private-sector partners involved in the deal, and details of how the arrangement would work were not provided. Days after Maduro’s ouster, Trump gathered oil executives at the White House and called on them to rush back into Venezuela. Executives expressed interest in the opportunity, but there was also a measure of caution given their past experience in the country.



People protest ahead of the G20 Finance ministers and central bank governors meeting in Asheville, North Carolina (US), on Friday. AFP

Russian strike in Ukraine kills 37

► Russia struck an arms depot near Kyiv overnight, sparking fires and explosions that killed 37 people and wounded dozens of others, AFP reports from Kyiv (Ukraine). AFP reporters saw plumes of black smoke pouring over the capital’s western suburbs, while videos published by Ukraine’s rescue services showed homes near the blast epicentre in flames.

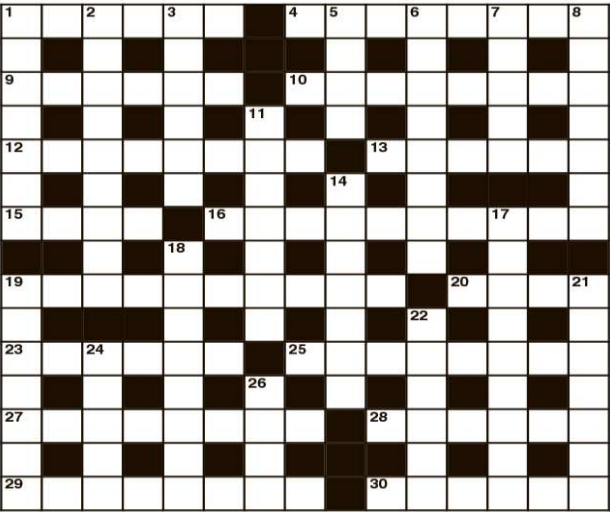
The attack was the second to hit a munitions depot near Kyiv in less than two months, with officials expressing anger that arms were still being stored so close to residential areas. Both Russia and Ukraine have intensified long-range strikes on each other in recent months, pushing civilian casualties to their highest level since Moscow invaded in 2022.

Niger mutiny sparks gunfire

► A group of soldiers in Niger rebelled against officers at a key military base and fired at sensitive locations in the capital, Niamey, in an apparent mutiny that threatened the struggling junta, AP/PTI reports from Niamey. Sustained gunfire and

explosions were heard overnight into Saturday, including at Niamey’s main airport, which houses the military air base, and in a district where the presidential palace is located. Security forces were deployed to key locations.

◆ SUNDAY CROSSWORD CHALLENGE 2695 ◆

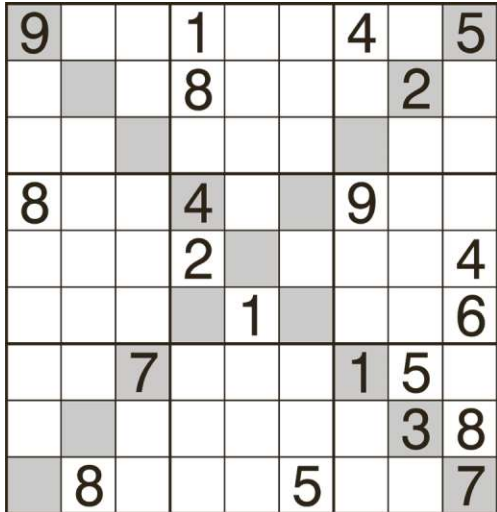


ACROSS
1 Free of charge (6)
4 Privation (8)
9 Authoritative decision (6)
10 A trivial inconvenience (8)
12 Be in working order (8)
13 Heedless (6)
15 Otherwise (4)
16 The largest portion (5,5)
19 Only outwardly powerful adversary (5,5)
20 Wild animal’s den (4)
23 Hydrophobia (6)
25 Of normal quality (8)
27 Strict disciplinarian (8)
28 Mismanage (6)
29 Forlorn (8)
30 Ancient Greek city-state (6)

DOWN
1 Tallest living animal (7)
2 Completely and convincingly (3,4,2)
3 Set fire to (6)
5 Skilful (4)
6 Useless person or thing (4,4)
7 Haul up (5)
8 Go ahead of (7)
11 Supplement to a will (7)
14 Comprehensive (2-5)
17 Obliquely (2,2,5)
18 Volition (4,4)
19 Ancient Egyptian royal tomb (7)
21 Reparation for wrong (7)
22 Inequitable (6)
24 Scotland’s national poet (5)
26 Keen enjoyment (4)

SOLUTIONS TO CROSSWORD 4055
CRYPTIC
ACROSS: 9, Hair shirt 10, All square 12, Rot-a 13, Ebbing 14, T-ransit 15, Card sense 17, See things 18, Totters 19, Amelia 20, Free 23, Fall to see 25, Collected 26, Idea(L) 27, Scar-C-E 29, Gathers 32, Concerned 34, Sandpaper 35, Ann-U-als 36, Look on 37, Down 38, Condition 39, Prevailed.
DOWN: 1, Short cut 2, Bitter strife 3, Dis-bands 4, Strike 5, Large-S-S-E 6, Flat denial 7, Squashy 8, Death’s head 11, (he)Ar-son 16, Sh-eath 19, Ace 21, Rather poorly 22, Kept up 23, Fair chance 24, Second slip 25, Cue (queue) 8, Re-dole-nt 29, Gone over 30, Serenade 31, Regal-I-a (rev.) 33, Ni-non (rev.) 34, Sloppy.

SU DO KU X - 4023



SOLUTION TO 4022
9 7 4 8 6 1 5 2 3
3 8 5 7 4 2 1 6 9
1 6 2 3 9 5 8 7 4
5 2 6 4 7 9 3 8 1
7 9 3 6 1 8 2 4 5
4 1 8 5 2 3 7 9 6
8 3 7 9 5 4 6 1 2
6 4 1 2 3 7 9 5 8
2 5 9 1 8 6 4 3 7

To solve the puzzle: The objective is to place the numbers 1 to 9 in the empty squares so that each row, each column, each 3x3 box and each shaded diagonal line contains the same number only once.